

exploit this bias to your advantage. Understanding anchoring and adjustment can, for example, be a powerful asset when negotiating. Many negotiation experts suggest that the participants communicate radically strict initial positions, arguing that an opponent subject to anchoring can be influenced even when the anchor values are extreme. If one party begins a negotiation by offering a given price or condition, then the other party's subsequent counteroffer will likely reflect that anchor. So, when negotiating, it is wise to start with an offer much less generous than reflects your actual position (beware, however, of overdoing this). When presenting someone with a set of options, state first the options that you would most prefer that the other party select. Conversely, if a rival negotiator makes a first bid, do not assume that this number closely approximates a potential final price.

From the investment perspective, awareness is the best countermeasure to anchoring and adjustment bias. When you are advising clients on the sale of a security, encourage clients to ask themselves: "Am I analyzing the situation rationally, or am I holding out to attain an anchored price?" When making forecasts about the direction or magnitude of markets or individual securities, ask yourself: "Is my estimate rational, or am I anchored to last year's performance figures?" Taking these sorts of actions will undoubtedly root out any anchoring and adjustment bias that might take hold during asset sales or asset reallocation.

Finally, when considering a recommendation by a securities analyst, delve further into the research and ask yourself: "Is this analyst anchored to some previous estimate, or is the analyst putting forth an objective rational response to a change in a company's business fundamentals?" Investment professionals are not immune to the effects of anchoring and adjustment bias. In fact, there is an investment strategy that can leverage this behavior, which will be discussed in the "bonus discussion."

BONUS DISCUSSION: INVESTMENT STRATEGIES THAT LEVERAGE ANCHORING AND ADJUSTMENT BIAS

An awareness of the mechanics of anchoring and adjustment can actually serve as a fundamental tenet of a successful investment strategy. Some finance professionals leverage anchoring and adjustment bias by observing patterns in securities analyst earnings upgrades (downgrades) on various stocks and then purchasing (selling) the stocks in response. The behavioral aspect of this strategy is that it takes advantage of the tendency exhibited by securities analysts to underestimate, both positively and negatively, the magnitudes of earnings fluctuations due to anchoring and adjustment bias.